

Bharti Airtel

Earnings are compounding. The share price forgot to.

BUY Price Rs 1,970 Fair value Rs 2,338 Implied +18.7%

Profit up 37% in the June quarter. The stock up 6% in a year. That gap is the entire investment case — and the margin dip everyone is worried about is the reason it exists.

Raghav · AUG 2026 · EV/EBITDA + scenarios · BHARTIARTL · thereservenote.com

Investment summary

Bharti Airtel trades at roughly Rs 1,970, a market capitalisation of Rs 12.4 lakh crore, having risen just 6.3% over twelve months. In the same period the business delivered Q1 FY27 revenue of Rs 58,539 crore, up 18.4%, and consolidated net profit of Rs 8,167 crore, up 37.3%. Earnings have compounded materially faster than the share price for four consecutive quarters. My scenario-weighted fair value is Rs 2,338, about 19% above the current price. I rate this BUY, and the reason the opportunity exists is a margin number I think the market has misread.

The margin the market is worried about

Consolidated EBITDA margin came in near 51% against 56 to 57% in the preceding three quarters. That is the number the street watched and the reason a 37% profit increase produced a flat share price. The explanation is mix, not deterioration: Africa is growing faster than India and carries structurally lower margins, and the share swap that lifted Airtel's stake in Airtel Africa above 79% during the quarter mechanically consolidates more of that lower-margin revenue. A blended margin that falls because your faster-growing subsidiary got bigger is arithmetic, not decay.

What is actually driving the business

India ARPU is around Rs 260 and rising, with roughly 3.25 million subscribers added in the quarter and record postpaid additions. The 2G-to-4G migration still has years to run and every migrated user is an ARPU upgrade that costs almost nothing to serve. The Indian market is now effectively three players, one of which is structurally impaired, which is the most favourable competitive structure Indian telecom has had in two decades. Pricing power in a consolidated market with rising data intensity is the closest thing to a compounding annuity that a capital-intensive industry offers.

The cash flow nobody talks about

Free cash flow of Rs 14,400 crore in a single quarter, roughly Rs 57,600 crore annualised, against a net debt position including spectrum liabilities of approximately Rs 1.6 lakh crore. Airtel is now deleveraging

at a pace that materially changes the equity story: every rupee of debt repaid transfers enterprise value from lenders to shareholders without the business doing anything new. This is the quiet part of the telecom cycle that follows the capex peak, and it is worth more than the ARPU headlines.

Two options the market is not paying for

Airtel Money is preparing a London listing in the second half of 2026. A separately listed payments business establishes a public market value for an asset currently buried inside a telecom multiple, and value-unlock events of that kind have a habit of being worth more than the sum-of-parts arithmetic suggests beforehand. Separately, Fastlane — the 5G network-slicing product — is gaining traction in postpaid and enterprise, where revenue per user is a different order of magnitude. Neither is in my base case.

What I am underwriting

I model FY27 revenue of about Rs 2.45 lakh crore at a 52% EBITDA margin, rising to Rs 3.05 lakh crore at 55% by FY29 as the India mix reasserts itself and Africa scales. That gives FY29 EBITDA of roughly Rs 1.68 lakh crore. Applying 11.5 times enterprise value to EBITDA, deducting net debt reduced to about Rs 1.2 lakh crore by accumulated free cash flow, and discounting two years at 11%, I arrive at Rs 2,327 a share. Telecom is properly valued on EV/EBITDA rather than earnings, because depreciation and spectrum amortisation distort reported profit in both directions.

Scenarios

Bull, at 30%: the Airtel Money listing crystallises value, margins recover to the mid-fifties, and the market pays 13 times — roughly Rs 2,651, or 35% up. Base, at 50%: Rs 2,327. Bear, at 20%: Africa mix keeps blended margins near 51%, competitive intensity returns, and a 9.5 times multiple gives about Rs 1,895, a 4% loss. Weighted, Rs 2,338. Note that the bear case is a mild loss rather than a rout, which is unusual and is a function of the cash flow — this is a business that pays down debt even when the thesis is wrong.

The case against, properly made

At 34 times trailing earnings this is not a cheap stock on the metric most investors reach for first, and my defence of EV/EBITDA over P/E is exactly the kind of argument bulls make when P/E is inconvenient. Telecom is capital-intensive and permanently so; the capex cycle ends and then a new technology restarts it, and 6G will arrive before the 5G returns are fully harvested. Regulatory risk is live and one-directional — spectrum auction terms, AGR liabilities, and the net neutrality review touching Fastlane are all decided by people who are not shareholders. Africa adds currency and political risk that Indian investors habitually underweight. And promoter holding has fallen 4.9% over three years, which is not a sell signal on its own but is not nothing either.

What I would actually do

Buy. The setup is a high-quality, cash-generative franchise in a consolidated market where earnings have compounded faster than the share price for a year, and where the proximate cause of the

underperformance is a margin optic rather than a business problem. I would add below Rs 1,800, where the base case offers close to 30% and the bear case is roughly the entry price. The risk I am accepting is that mix keeps the blended margin optically weak for longer than my patience, while the underlying India business quietly gets better.

This is my personal analysis, published for discussion and learning. It is not investment advice, not a recommendation to buy or sell any security, and not a solicitation. Financial data is sourced from Bharti Airtel's reported Q1 FY27 results and publicly available market data as at August 2026; prices will have moved. Net debt is my own estimate including spectrum liabilities and may differ from reported figures. Valuation outputs reflect my assumptions, stated so that you can reject them. I may hold positions in securities discussed. Do your own work.